BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:
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Panel

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Q. Members of the Staff Information Technology, or IT, Panel, or Panel, please state your names, employer, and business address.

A. Sandra Sweet, John Castano, Clifford Tookes, Paul Hammond, Davide Maioriello, and Anthony Osei-Tutu. We are employed by the New York State Department of Public Service, or Department. Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Ms. Sweet, what is your position at the Department?

A. I am employed as a Utility Engineering Specialist 2 in the Upstate Office of Rates and Tariffs, which we will refer to as ORT.

Q. Ms. Sweet, please state your educational background and professional experience.

A. I received a Bachelor of Science degree in Mechanical Engineering from Clarkson University in December 1999. I began my employment with the Department as a Junior Engineer in August 2008 in the Office of Energy Efficiency and the Environment. In the fall of 2011, I was promoted to a Utility Engineer 1. In February 2014, I joined the Office of Rates and Tariffs

where my title changed to Assistant Engineer (Electrical). In 2019, I was promoted to Utility Engineering Specialist 2. Since joining ORT, I have prepared, analyzed, and reviewed reports and studies involving operating revenues, sales forecasts, operation and maintenance expenses, embedded costs, revenue allocation, and rate design. My current duties include engineering analyses of electric utilities' rates, pricing, and tariff proposals.

Q. Ms. Sweet, have you previously testified before the New York State Public Service Commission, or Commission?

A. Yes. I have testified in many rate cases addressing various issues, including the development of a targeted demand side management model, a new energy efficiency portfolio support position, embedded cost of service studies, rate design, capital expenditures, depreciation, and other revenue requirement issues. I provided testimony in Cases 10-E-0362, 14-E-0493, and 18-E-0067, regarding Orange and Rockland Utilities, Inc., or O&R; Cases 15-E-0283 and 15-E-0285, and 19-E-0378 and 19-E-0380, 22-E-0317, 22-G-0318,

22-E-0319, and 22-G-0320 regarding New York State Electric & Gas Corporation, or NYSEG, and Rochester Gas and Electric Corporation, or RG&E; and Cases 17-E-0238, 20-E-0380 and 20-G-0381 regarding Niagara Mohawk Power Corporation d/b/a National Grid, or NMPC.

Q. Mr. Castano, are you a member of the Staff Revenue Requirements Panel and are your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Tookes, what is your position at the Department?

A. I am employed by the Department of Public Service as a Utility Analyst Trainee 2 – Cyber Security, assigned to the Utility Security Section within the Office of Resilience and Emergency Preparedness.

Q. Please provide a summary of your educational and professional experience.

A. I have a Master of Science degree in Cybersecurity from Utica University. I have also attended numerous courses, workshops, seminars and conferences on cybersecurity and critical infrastructure. For example, in 2023,

I attended the Cyber Security for Critical Assets, or CS4CA summit, the Texas A&M Physical and Cyber Security for Critical Infrastructure course, and the New York State Cybersecurity Conference. I also have completed Cybersecurity and Infrastructure Security Agency preparedness courses in Industrial Control Systems, IT and OT interaction and Cyber Risk. I have also completed Cybersecurity and Infrastructure Security Agency training in Critical Infrastructure Protection, and Supply Chain Cyber Risk Management.

Q. Please describe your current duties with the Utility Security Section of the Office of Reliability and Emergency Preparedness.

A. I joined the Utility Security Section in 2022. My current responsibilities include assisting with cybersecurity vulnerability assessments of critical facilities and corporate cybersecurity systems, owned and operated by the electric, gas, telecommunications, and water utilities.

Q. Mr. Tookes, have you previously testified before the Commission?

A. No.

Q. Mr. Hammond, what is your position at the Department?

A. I am employed by the Department of Public Service as a Utility Analyst Trainee 2 – Physical Security, assigned to the Utility Security Section within the Office of Resilience and Emergency Preparedness.

Q. Please provide a summary of your educational and professional experience.

A. I hold a Bachelor of Arts degree in History from SUNY College at Fredonia. I also have attended numerous courses, workshops, seminars, and conferences on physical security. For example, I have attended the Texas A&M Engineering Physical and Cybersecurity for Critical Infrastructure Course in 2023, and the Federal Department of Homeland Security's NY Responds Incident Management System Training.

Q. Please describe your current duties with the Utility Security Section of the Office of Resilience and Emergency Preparedness.

A. As part of my responsibilities, I perform physical security assessments at critical infrastructure owned and operated by electric,

gas, and water utilities in New York State.

Q. Mr. Hammond, have you previously testified before the Commission?

A. No.

Q. Mr. Maioriello, are you a member of the Staff Gas Reliability and Supply Panel and are your credentials in that Panel's testimony?

A. Yes.

Q. Mr. Osei-Tutu, are you a member of the Staff Consumer Services Panel and are your credentials in that Panel's testimony?

A. Yes.

Summary of Testimony

Q. What is the purpose of the Panel's testimony in these proceedings?

A. Our testimony will summarize the Brooklyn Union Gas Company d/b/a National Grid NY, or KEDNY and KeySpan Gas East Corporation d/b/a National Grid, or KEDLI, collectively referred to as the Companies, request for new IT programs and projects, discuss our review process, and recommend adjustments related to the proposed IT projects and overall spending. Our testimony will recommend an overall level of IT capital

expenditures at the National Grid USA Service Company, Inc., or Service Company, level used in establishing the Rate Year, or twelve months ending March 31, 2025, Service Company Rent expense, as well as operating expense, or OPEX, and run the business, or RTB, costs. We will describe Service Company rent expense, OPEX and RTB later in our testimony.

Q. Do other panels discuss any IT projects?

A. Energy Efficiency related IT investments will be discussed in the Staff Efficiency Panel's Testimony.

Q. What adjustments are you recommending to the Companies proposed IT investments?

A. We recommend thirty-two adjustments. Our first twenty-nine adjustments remove specific IT project capital expenditures from the Rate Year. Our thirtieth and thirty-first adjustments modify the forecasted Rate Year OPEX and RTB costs. Our thirty-second adjustment modifies the Service Company rate of return on IT capital investments.

Q. Do you have any other recommendations regarding IT?

A. Yes. We also have recommendations regarding IT reporting requirements and the continuation of the downward-only Service Company Rent IT true-up.

Q. Please define the Historic Test Year and Data Years in these proceedings.

A. The Historic Test Year is the twelve-month period ending December 31, 2022. Data Years are the terms used by the Companies to refer to the years beyond the Rate Year. Data Year One, Data Year Two, and Data Year Three are the subsequent 12-month periods ending March 31, 2026, March 31, 2027, and March 31, 2028, respectively.

Q. What are KEDNY's and KEDLI's Fiscal Year, or FY?

A. The Companies' FY runs from April 1 to March 31. They are identified by the calendar year in which the FY ends, such that FY24 begins on April 1, 2023, and ends on March 31, 2024, FY25 is the same period as the Rate Year, FY26 is the same as Data Year One, FY27 is the same as Data Year Two, and FY28 is the same as Data Year Three.

Q. In your testimony, will the Panel refer to, or otherwise rely on, any information obtained

during the discovery phase of this proceeding?

A. Yes. We rely on several responses to our information requests, or IRs. These responses are included in Exhibit___(SITP-1) and will be identified using the reference number originally assigned by the Department. For instance, the Department's first IR was identified as "DPS-001."

Q. Is the Panel sponsoring any other exhibits?

A. Yes, we are sponsoring the following additional exhibits: Exhibit___(SITP-2) includes a summary of Service Company Rents, Exhibit___(SITP-3), includes the Panel's proposed capital expenditure adjustments, Exhibit___(SITP-4) includes the Panel's proposed OPEX and RTB adjustments, Exhibit___(SITP-5) includes the Historical Spending analysis for capital expenditures and operating and RTB expenses, Exhibit__(SITP-6) includes the KEDNY Service Company Rents, and Exhibit__(SITP-7) includes the KEDLI Service Company Rents.

The Companies' IT Organization

Q. What is the role of IT&D function at National Grid?

A. As stated on page 5 of the IT&D Panel's direct testimony, National Grid IT&D delivers services and technology solutions that range from critical gas transmission and distribution support systems to desktop applications. The IT&D function is integral in the provision of safe, reliable, and secure natural gas delivery. IT&D also provides a suite of software applications, asset and work management systems, as well as customer support systems that allow KEDNY and KEDLI to efficiently and effectively operate their gas systems.

Q. Explain how National Grid's IT&D organization is structured.

A. National Grid's IT&D organization has an umbrella structure. At the top is the National Grid IT&D shared services and delivery functions. Those shared services and delivery functions are comprised of "towers" aligned to support the United States, or US, and United Kingdom, or UK, businesses.

Q. Describe how IT&D investment plans are developed.

A. As stated on page 8 of the Companies' IT&D

Panel's direct testimony, first, National Grid identifies IT project priorities. As part of the prioritization effort, business needs, infrastructure requirements, sequencing, resource availability and capacity, size and impact of the IT investment, and the overall benefit of the investment is compared to other IT proposals. Once engaged, IT&D considers existing multi-year investments and identifies the amount of work remaining, and the delivery timeline for those projects. IT&D will also support new IT investments needed to comply with legal or regulatory requirements and mandates, or other critical corporate objectives. Lastly, IT projects are targeted to include investments needing upgrades, replacement, or the addition of functionality necessary to ensure system reliability or required for future operational business needs.

Q. Explain how National Grid reviews the IT&D investment plan.

A. The Companies' IT&D staff collaborate on creating an investment plan in line with each of the business's priorities. An investment plan

review occurs December/January in each FY with the jurisdictional presidents, jurisdictional delegates, and functional executives. Once the plan is approved, it is incorporated into the IT&D budget. The IT&D budget is reviewed and approved by various Chief Information and Digital Offices, as well as Corporate Finance. Finally, the plan is incorporated into the consolidated National Grid US budget for approval by the National Grid Board.

Q. Do the Companies develop their own IT projects and investments?

A. No, as most of the IT projects are used by multiple operating companies and subsidiaries of National Grid such as the Companies, IT projects are designed and accounted for by the Service Company. The accounting for these costs will be discussed later in our testimony.

Development of the IT Project

Q. Describe the typical life cycle of an IT project and how the individual project budgets are developed.

A. According to the Companies' response to DPS-943, there are five stages in the IT project life

cycle: pre-start-up; start-up; requirements and design; development and implementation; and, close.

Q. Please describe the pre-start-up phase.

A. The pre-start-up phase includes the development of the Investment Estimator Tool, or IET. The Companies' response to DPS-297 states "future projects not yet sanctioned are estimated and described using an IET." The IETs have basic, high-level information on the proposed project. In this pre-start-up phase, cost estimates are plus 200 percent to minus 50 percent. We will discuss the information included in IETs, as well as partial sanction papers and sanction papers in more detail later in our testimony.

Q. Please describe the start-up phase.

A. Next, the project goes into the start-up phase, where a project manager and project sponsor are assigned to the project. The project manager assembles a project team, develops a work plan, and creates a partial sanction paper. The partial sanction paper further defines the project scope and narrows down the variance of the project estimate to plus 25 percent and

minus 25 percent.

Q. Please describe the requirements and design phase.

A. After the partial sanction is approved, the project team goes into the requirements and design phase, where the team determines the technical requirements needed for the project and designs the solution.

Q. Please describe the development and implementation phase.

A. During this phase, the project team develops the full sanction paper, which further narrows down the variance to plus 10 percent and minus 10 percent. The projects are then submitted for final approval.

Q. What happens next?

A. After the project is approved, the project team builds the solution and conducts testing to see if it operates as required and designed in the development and implementation phase. The solution is implemented, and the transition begins with necessary support provided. Finally, a closure paper is developed. A closure paper records the final project costs

and signoffs from the approval levels of management and is incorporated into the National Grid budget.

Q. Please explain the difference between an IET, partial sanction paper, and sanction paper.

A. As discussed earlier, the Companies use an IET during the start-up phase. IETs contain minimal information and are used at the earliest stage of project development. IETs generally do not provide enough information to substantiate the Companies moving forward with multi-million IT investments. Also, IETs generally do not have a project sponsor assigned. A partial sanction paper further defines the details contained in the IET, but is only marginally more specific than an IET and still less detailed than a full sanction paper. Finally, a sanction paper is developed that includes very detailed information, has a dedicated project sponsor and staff team, has fully identified risks and mitigation strategies for those risks, and has assumptions and project alternatives. The full sanction paper undergoes numerous rounds of vetting and approval within National Grid, in

comparison an IET receives little or no vetting.

Q. What information is provided in an IET?

Q. The IET is a form that requires input for multiple areas related to the project. Some of the inputs on the form are: key personnel involved in developing the project, project category, primary policy driver, description and background, expected benefits, scope, dependencies, risks, and assumptions. Estimated costs by year should be listed, as well as costs by delivery phase. A breakdown of the project prioritization and costs by capital, OPEX, and expected RTB costs are included, along with a preliminary score for investment risk and complexity. A preliminary estimate of the resources needed to complete the project, the key known milestone dates, and the operating companies that are expected to benefit from the project are also included. As such, in most cases the IET represents its author's first assessment regarding a project.

Q. Did each of the IETs reviewed by this Panel contain all of the information just listed?

A. No. Many inputs in the IETs reviewed by the

Panel in these proceedings were left blank or contained brief, unclear, or undefined terms.

Q. What information is provided in a sanction paper?

A. Sanction papers are intended to provide very detailed project descriptions, including background information, summary of the project, business needs, and benefits. According to the Companies' response to DPS-457 Attachment 8, sanction papers typically provide breakdowns of capital, OPEX and RTB costs by year. In addition, sanction papers provide a cost benefit analysis, or BCA or a net present value, or NPV analysis, if it has been performed. Next, the sanction paper includes the financial impact to the Service Company and a list of operating companies that will benefit from – and pay for – the project. Also, for applicable projects the sanction paper contains a plan for customer outreach, if applicable. Sanction papers also include a deployment schedule for each phase of the project, prior partial or full sanctioning history, and define an asset management risk score and drivers. Finally, sanction papers

identify the resources needed to complete the project, whether these resources are internal or external, availability of resources, and any potential operational and procurement impacts associated with the project.

IT Investment Recovery

Q. Describe the Service Company's proposed IT capital spending plan for the Rate Year, FY26, FY27 and FY28.

A. As shown in Exhibit___(ITDP-4CU), the proposed Service Company IT capital spending levels are $307.9 million, $314.6 million, $300.4, and $220.9 million for the Rate Year, FY26, FY27 and FY28, respectively.

Q. How are these costs allocated to KEDNY and KEDLI?

A. Once the capital project is completed and closed to plant-in-service on the Service Company's books, the Service Company begins to charge the operating companies, including KEDNY and KEDLI, for their allocated portion of the project costs. This charge is booked as Service Company Rent expense on the operating companies' books and includes the amortization expense of the

projects, as well as a return on the unamortized project costs. This process is similar to that used for "traditional" utility plant investments, whereby the operating companies incur depreciation expense and also earn a return on the net book value when the plant is included in rate base.

Q. What is the Rate Year forecast of Service Company Rent expense for KEDNY and KEDLI?

A. As shown in Exhibit___(RRP-3), Schedule 9, KEDNY and KEDLI project to incur $74.301 million and $53.243 million of Rate Year Service Company Rent expense, respectively. KEDNY's Rate Year expense projection is broken down into $40.471 million for existing IT projects, $26.912 million for the new IT projects and $6.917 million for shared facilities, which includes shared offices and warehouses. KEDLI's Rate Year expense projection is broken down into $20.466 million for existing IT projects, $12.428 million for new IT projects and $20.348 million for shared facilities.

Q. Are there other costs associated with these projects that are allocated to the Companies?

A. Yes. The Service Company also assigns OPEX and RTB costs. OPEX costs consist of initial project expenses such as internal labor, contractor and consultant costs, as well as post-implementation costs, incurred with new projects that are not able to be capitalized. RTB costs are the costs of running a project once it is in service, including costs associated with licensing and maintenance agreements, and application support.

Q. How did the Service Company determine the incremental OPEX and RTB costs contained in the Rate Year revenue requirements?

A. First, the Service Company increased the Historic Test Year OPEX and RTB costs by the rate of inflation. The Service Company then added the forecasted OPEX and RTB costs associated with proposed new projects to arrive at the total Rate Year forecasts at the Service Company level. The Service Company then compared these amounts to the OPEX and RTB costs incurred in the Historic Test Year to determine the incremental OPEX and RTB costs in the forecasted Rate Year. The Service Company then allocated a portion of the

incremental OPEX and RTB costs to KEDNY and KEDLI based on the allocation factors shown in the Exhibit___(ITDP-2). The allocated amounts are approximately $9.6 million for KEDNY and $5.1 million for KEDLI. These costs are included in the Other Initiatives - IT expense line in O&M, as shown in Exhibit___(RRP-3CU), Schedule 39.

Staff's Review Process

Q. Provide an overview of the process the Panel used to review the proposed IT investments.

A. We took several steps to review the proposed IT investments. First, we held multiple technical meetings with the Companies to discuss their IT budgeting process, sanctioning process, proposed IT investment plans, including the specific projects contained within, and the overall goals and objectives of the Service Company's proposed IT investments. Next, we reviewed the Service Company's historic IT capital spending from FY19 through FY23 to assess the Service Company's ability to complete IT projects on time and on budget. Then, we reviewed the proposed IT projects and associated expenses through any available IETs and sanction papers. Finally, we

analyzed the variances between the cost estimates of IT capital projects and the final costs shown in the closure papers.

Q. Describe the Panel's method of reviewing the proposed projects.

A. The primary focus of our review emphasized projects that would commence immediately prior to, or during the Rate Year. We reviewed IETs, sanction papers, and/or documentation supporting the project such as the BCAs for each project. Other support included one-time and recurring savings; a description of, and all relevant information on, one-time and recurring savings; vendor quotes; and all supporting workpapers and calculations associated with the project costs/estimates.

Staff Adjustments

Q. Does the Panel have any adjustments?

A. Yes, we have thirty-two adjustments.

Q. Please describe your first set of adjustments.

A. Our first twenty-one adjustments relate to capital expenditures for IT projects where the Companies have not provided adequate support or documentation. Exhibit___(SITP-3) lists each

project and its associated IT&D budget that we recommend be reduced at the Service Company level.

Q. Please describe any commonalities that resulted in the removal of the first twenty-one projects.

A. First, none of these projects have been sanctioned for the Rate Year and many of the projects are in the pre-start up or start-up stages. Second, the Companies did provide IETs for each of the projects, however, as discussed earlier, many of the project inputs were left blank, contained very brief descriptions or explanation, were unclear, or inadequately defined terms. As such, we concluded that these IETs generally lack overall supporting or detailed justification. Specifically, the IETs lacked information regarding project interdependencies, identification or risks to the business for failing to pursue or failing to complete the projects, identifying assumptions, alternatives, costs, impacts, and staffing requirements. Third, the Companies' IETs highlight many concerns or risks with the various projects that we strongly argue the

Companies have not sufficiently addressed before choosing to proceed with the projects. Specifically, these concerns relate to the need for additional qualified internal and external employees which may not be available in today's labor market, the risk of overspending the budgets, lack of appropriate National Grid management project approvals, and the lack of project deliverables and implementation schedules. For these reasons, we recommend removal of the proposed capital expenditures for these projects. We will now discuss our recommended adjustments for each project and the reasons for those adjustments.

Q. Please describe your first six adjustments.

A. Our first six adjustment address the Companies' proposed suite of projects included in the Back Office Refresh. The Back Office Refresh is intended to implement improvements to the Companies' Enterprise Resource Planning, or ERP system. The six projects are the: (1) Cloud Foundation Migration; (2) Data Cleanse; (3) Enterprise Data Hub; (4) Enterprise Data Model; (5) Payroll; and (6) Portfolio App

Rationalization/Deployment projects. As shown in Exhibit___(SITP-3), our adjustments remove the proposed funding for each of these projects.

Q. Please describe the Cloud Foundation Migration project.

A. The Cloud Foundation Migration project establishes a cloud strategy and infrastructure environment and begins migrating business applications to the cloud to enable integration with the future core ERP system.

Q. Please describe the Data Cleanse project.

A. The Data Cleanse project proposes to cleanse master and transactional data for the core ERP system to improve reporting, reduce errors, and reduce the burden for future system transformation projects. This includes disaggregating existing master data sets into core dimensions and definitions, defining historical data retention strategy, developing a data integration strategy, developing a conversion strategy, and deploying new data governance processes.

Q. Please describe the Enterprise Data Hub project.

A. The Enterprise Data Hub project will define and

enable the link between the Operations and Finance functions. The project seeks to increase transparency in information sharing used for finance reporting functions based on work order information provided by operations systems, which currently requires a manual process to trace across multiple platforms and systems.

Q. Please describe the Enterprise Data Model project.

A. The Enterprise Data Model project proposes to design the future state enterprise code block and associated finance processes to provide transparency into the costs to operate business and IT, as well as streamline back office reporting functions.

Q. Please describe the Payroll project.

A. The Payroll project proposes to optimize employee time and pay data, processes, policies, and rules in parallel with implementing a cloud-based Employee Central Pay environment.

Q. Please describe the Portfolio App Rationalization/Deployment project.

A. The Portfolio App Rationalization/Deployment

project proposes to modernize the core ERP system by replacing legacy applications.

Q. Why are you removing the costs for the suite of projects related to the Companies' proposed Back Office Refresh?

A. These projects are all in the pre-start-up phase of development. We recommend removing these projects due to lack of project details, ambiguity around the cost to complete the projects, and uncertainty as to whether National Grid can locate and hire the appropriate resources to implement the projects in a timely manner. The IET for each of these projects was included as the attachments to the Companies' response to DPS-458 and identify common concerns that "there may be unexpected costs as the project develops that cause a cost overrun" and that "National Grid internal and external resources with the correct knowledge to deliver the project may not be available." While the Companies specify that this risk "would be mitigated by working with strategic partners who know National Grid's business operations" the IETs do not provide information about

competitive procurements needed to develop these projects or whether the Companies have agreements and/or contracts with the strategic partners that would provide for the needed resources.

Q. Did the Companies provide alternatives to the Back Office Refresh suite of projects?

A. IETs request information on alternatives considered for each project. The IETs for these projects identified alternatives including: (1) stay the course or continue to delay, (2) redesign of Code Block only without replacing the core system, (3) pursue third party support of SAP ECC, the Companies accounting platform, after SAP support is discontinued, and (4) deploy [an] and alternative to SAP for core ERP. However, the Companies provided only very high-level risks associated with each of the alternatives and did not provide costs of the alternatives. For example, the risk identified for the stay the course or continue to delay alternative simply states that option increases risk profile on a business critical platform. The lack of information makes it impossible for

us to determine if the Back Office Refresh projects are the most cost effective and whether they are ultimately feasible for the Companies to implement.

Q. Please describe your seventh adjustment.

A. Our seventh adjustment removes the allowance for the Continued Scaling and Evolution, or CS&E, project listed in Exhibit___(SITP-3).

Q. Please describe the CS&E project.

A. The Service Company proposes to enhance the core capabilities of the asset and work management, scheduling, field mobility, and other platforms enabled by the Gas Business Enablement, or GBE program.

Q. Why are you removing the costs for the CS&E project?

A. Based on our review of the IET, which was provided in response to DPS-457, Supplemental Attachment 38, we identified deficiencies related to dependencies, risks, assumptions, and alternatives. The IET did not provide an adequate explanation of process and technology dependencies. Specifically, the process dependency section of the IET states, "business

processes will need to evolve, requiring cross-jurisdictional coordination and change management" and the technology dependency states, "the technology we depend on changes and evolves, requiring coordination and support." These dependencies fail to identify what types of processes or technology, that is, hardware or software, will need to evolve nor do the Companies explain what coordination or support is needed in order for the project to progress. Further, the IET only identified a stakeholder engagement risk, but fails to include a mitigation strategy for that risk. In addition, one of the project assumptions states, "scope will be determined based on business priorities and investment commitment." However, the project scope should be a known component of the project prior to the Companies seeking rate recovery. The IET does not evaluate any alternatives for this project. Finally, in response to DPS-561 and DPS-562, the Companies were not able to quantify or identify any projected customer use, monetary, or efficiency benefits associated with this project.

Q. Please describe your eighth adjustment.

A. Our eighth adjustment removes the allowance for the CRIS to CSS Conversion - Enhancements project listed in Exhibit___(SITP-3).

Q. Please describe the CRIS to CSS Conversion - Enhancements project.

A. According to the Companies response to DPS-1010, the Companies have a two-phase plan for its Customer Information Systems, or CIS. The first phase is called CRIS to CSS conversion, which seeks to convert KEDNY's current CIS called CRIS, or Customer Related Information System to the CIS used by NMPC and KEDLI which is called CSS, or Customer Service System. The second phase of the CIS plan is called CRIS to CSS Conversion Enhancements, or CSS Enhancements where the Companies will look to develop and eliminate interfacing applications that allow for data to be shared between the CSS, and the Companies systems. According to the Companies response to DPS-1000, Attachment 1, an example of an interfacing application is the Unified Data Model, or UDM which extracts data between the CSS and the Unified Web Portal, a self-

service web portal for residential customers.

Q. Why are you recommending removal of the costs for the CRIS to CSS Conversion Enhancements project?

A. We recommend removal of this project for four reasons. First, the project details are lacking. In response to DPS-457 and DPS-1010, the Companies provided documentation that did not provide sufficient details concerning the CSS Enhancements project. In order to properly assess this project, we need detailed information on the scope of the CSS Enhancements project, the expected timeline for implementation, total budget, risks and mitigation strategies, and the necessary resources to ensure project completion. This missing information is essential to evaluate the feasibility and success of this project. Second, the Companies indicated in their response to DPS-1010 that the CSS Enhancements project will not begin until the first phase of the CRIS to CSS Conversion is complete. The implication of this is that there is a risk that any delays or problems with the CRIS to CSS

Conversion will substantially delay the start of the second phase. Third, based on the Companies' response to DPS-1010, similar enhancement projects have not been undertaken in KEDLI or NMPC. The lack of historical costs and benefit data from similar projects concerns the Panel that the projected cost and benefits are estimates. Lastly, the Panel has concerns that beginning the CSS Enhancements phase immediately after KEDNY converts its CIS is risky since the Companies will have little experience with its use. In addition, as detailed in their response to DPS-1010, the Companies explain that they have not implemented these enhancements in the other Companies and, therefore lack knowledge of best practices and lessons learned to ensure a smoother transition and reduce risks including delays in implementation, variance in budgets, or lack of staff resources.

Q. Please describe your ninth adjustment.

A. Our ninth adjustment removes the allowance for the AIMS Enterprise Solution project listed in Exhibit___(SITP-3).

Q. Please describe the AIMS Enterprise Solution

project.

A. The AIMS Enterprise Solution project is an investment in National Grid's US Customer Contact Centers which handles over 18 million calls annually and is used by more than 2,000 in-house and third-party vendor agents. The proposed investment is intended to enhance the system's stability, reliability, and implement new self-service features such as Voice-to-Digital virtual assistant.

Q. Why are you recommending removal of the costs for the AIMS Enterprise Solution project?

A. First, the IET provided in response to DPS-401, Attachment 1, lists three other project dependencies: the CRIS to CSS Conversion, Zero-Based Redesign, and Virtual Assistant. The Panel is concerned with the number of dependencies identified for this project, with CRIS to CSS Conversion being the most significant, and the lack of detail provided, including the implementation status of identified dependencies and the risks and mitigation strategies should they be delayed. For these reasons, the Panel concluded that the

Companies have not done a thorough analysis to demonstrate how they will manage multiple workstreams interconnected to this project. Second, the IET identifies a shortage of subject matter expert resources as a business risk and does not provide a mitigation strategy. Third, it describes "unknowns and final solution design" as a delivery risk which is unclear. The Panel concludes that the Companies have not designed the proposed enhancements and should not be seeking funding until final solution design is complete.

Q. Please describe your tenth adjustment.

A. Our tenth adjustment removes the allowance for the Customer Data Platform project listed in Exhibit___(SITP-3).

Q. Please describe the Customer Data Platform project.

A. The Customer Data Platform proposes to streamline data management processes to advance security and data governance, enhance data quality, eliminate manual data efforts, and generate a more comprehensive customer profile.

Q. Why are you recommending removal of the costs

for the Customer Data Platform project?

A. First, the IET, provided in response to DPS-410, lacks important information about dependencies, risks, or assumptions which prevents a thorough understanding of the feasibility of the project. These fields in the IET were left blank which makes it unclear whether such dependencies, risks, or other assumptions exist. Second, while the IET includes a list of alternatives the Companies considered, they do not list the advantages or disadvantages of each alternative. Third, the Companies' Investment Details section of the IET mentions that this project will remove manual data efforts, while their response to DPS-410 states that the Customer Data Platform project investment is not expected to produce any cost savings. The Panel concludes that the Companies have not evaluated the benefits and savings of this investment by eliminating manual processes, including the savings from a reduction of employees.

Q. Please describe your eleventh adjustment.

A. Our eleventh adjustment removes the allowance for the Customer Mandates project listed in

Exhibit___(SITP-2).

Q. Please describe the Customer Mandates program.

A. The Customer Mandates program proposes to implement customer system changes and maintain compliance with jurisdictional, legal, and financial reporting requirements for customer service systems.

Q. Why do you recommend the removal of costs for the Customer Mandates project?

A. First, according to the response to DPS-402, Attachment 1, the Companies' IET indicates that there is a concern with the availability of staffing resources due to system wide or regional events that will impact the project timeline. However, the Companies do not explain what types of events would affect the availability of labor and planned mitigation strategies in the case of such events. Second, the Companies mention an associated risk in meeting aggressive mandated delivery dates and changes to the mandated requirements while the project is in-flight. The strict mandated requirements and timeline lead us to conclude that this project requires more risk mitigation

before proceeding.

Q. Please describe your twelfth adjustment.

A. Our twelfth adjustment removes the allowance for the My Business Account Portal project listed in Exhibit___(SITP-3).

Q. Please describe the My Business Account Portal.

A. The My Business Account Portal is a personalized, self-service digital platform dedicated to large commercial and industrial customers that intends to improve user experience through increased access to billing and usage data.

Q. Why are you recommending removal of the costs for the My Business Account Portal?

A. First, the Companies response to DPS-403 states the My Business Account Portal cannot begin until it has architecture approval from the Service Company, the sanctioning process is complete, and the Customer Data Platform is operational, none of which have been completed. Since the Panel's tenth adjustment removes the Customer Data Platform and this project is dependent on that investment this project cannot proceed. Second, in response to DPS-403, page

10 of Attachment 1, the Companies identify that delay in technical designs and architecture approvals is a high risk. The Companies' mention that a risk response strategy would be to establish contingency plans for delayed delivery. The Panel concludes that it is unknown when the Companies will have architecture approval and have yet to establish solid contingency plans should the approval be delayed, which increases the risk of successful project delivery and implementation. Third, the Companies already have a version of the My Business Account Portal, which they are also seeking cost recovery for in these proceedings, and we support. The Companies are proposing to improve the Portal via their Optimizing Front Office Service Delivery program which is explained on page 57 of the Customer Panel's direct testimony. The Panel concludes that investing in both an existing and new version of this platform is wasteful and duplicative.

Q. Please describe your thirteenth adjustment.

A. Our thirteenth adjustment removes the allowance for the Unified Web Portal Program listed in

Exhibit___(SITP-3).

Q. Please describe the Unified Web Portal Program.

A. The Unified Web Portal Program is a self-service platform for residential customers that aims to offer improved access to self-service bill payment, account management options, customer usage, and consumption trends.

Q. Why are you recommending removal of the costs for the Unified Web Portal Program?

A. First, based on the investment details section of the IET provided in response to DPS-404, the Companies explain that Unified Web Portal Program 2.0 depends on successful implementation of both the CRIS to CSS project and the Customer Data Platform, which are not completed. Additionally, the Panel's tenth adjustment removes the allowance of the Customer Data Platform investment. Second, on page 56 of the Customer Service Panel's direct testimony, the Companies proposed making enhancements to the Unified Web Portal Program 1.0 as part of optimizing the front office delivery model, which we support, however, we contend that investing in an old and new version is wasteful

and duplicative. Third, based on the alternatives in the IET, the Companies acknowledge that not making any changes is a feasible option, would save over $27 million in contracted vendor costs, and still allow for the development of any immediately needed business functions, however, the IET does not quantify the costs of any disadvantages by pursuing such alternatives. Fourth, we are concerned that implementing so many customer-focused projects concurrent with the projects the Companies currently depend on could lead to integration problems and the risk of obsolete functionalities.

Q. Please describe your fourteenth through eighteenth adjustments related to physical and cybersecurity investments.

A. Our fourteenth through eighteenth adjustments remove the allowance for the Identity and Access Management, or IAM project, Operational Technology, or OT Security project, Physical Security project, Platform Security project and the Security Orchestration Automation and Response, or SOAR, project.

Q. Provide a brief description of these projects.
A. The IAM project establishes and enhances frameworks for policies, processes, and technologies to ensure full and proper control and awareness of who has access to specific IT&D systems and under what circumstances that access is granted. The OT Security project provides security solutions to improve the defense of the Companies' operational gas and electric equipment to ensure the reliable delivery of energy. The Physical Security project will address a wide range of physical security issues, including a Break/Fix program, a Life Cycle Replacement Program, and ongoing Plant security upgrades. The Platform Security project supports the standardization of technologies to ensure that all computing platforms conform to a consistent and effective set of security protocols. The SOAR project enhances the ability to detect, mitigate and respond to cybersecurity events through improved visibility, orchestration, automation, and data analysis.
Q. Why are you removing the costs for these

physical and cybersecurity projects?

A. We are removing the costs for two reasons. First, based on our review of the IETs filed in response to DPS-457 Supplemental Attachments 66, 68, 69, and 70, and 71, all of these projects are in the pre-start up stage of the planning process. Second, the Companies IETs did not (1) identify any technological or organizational dependencies nor they do explain how the Companies will manage or mitigate those dependencies, (2) identify any business or delivery risks from failure to implement these programs or mitigation strategies for those risks, (3) provide a planned schedule of deployment or milestones by which the Panel could track the progress of these projects, and (4) conduct a meaningful alternative analysis that identifies the costs and/or savings for alternatives that were evaluated.

Q. Please describe your nineteenth and twentieth adjustments.

A. Our nineteenth and twentieth adjustments remove the allowance for the Network Security Program and the Security Vulnerability Management

Program listed in Exhibit___(SITP-3).

Q. Provide a brief description of these programs.

A. The Network Security Program protects the underlying security infrastructure from unauthorized access, modification or destruction of data, which allows the Companies to maintain secure, reliable digital communications. The Security Vulnerability Management Program seeks to identify and address cybersecurity weaknesses within National Grid. As new processes, software upgrades, and tools are incorporated into the National Grid technology ecosystem, there is a need to continuously assess and proactively address cybersecurity risks. The Security Vulnerability Management Program also validates that security controls and processes remain effective in live and testing environments and simulated attack scenarios.

Q. Why are you removing the costs for these projects?

A. We are removing the costs for three reasons. First, based on our review of the IETs filed in response to DPS-457 Supplemental Attachments 67 and 72, all of these projects are in the pre-

start up stage and require further development. Second, the Companies IET failed to (1) identify any technological or organizational dependencies, (2) provide a planned schedule of deployment or milestones by which we could track the progress of this project, and (3) provide costs or savings for alternatives that were evaluated. Third, the Companies' proposed business or delivery risks were not clearly defined and no mitigation strategies were proposed to address those risks.

Q. Please describe your twenty-first adjustment.

A. Our twenty-first adjustment reflects the removal of the Clean Energy Platform and Green Button Connect projects as discussed in the Staff Efficiency Panel's testimony.

Q. Please quantify your first twenty-one adjustments.

A. In total, our first twenty-one adjustments reduce the IT&D capital budget at the Service Company level by $239.224 million, or $94.603 million in FY24 and $144.621 million in the Rate Year.

Q. Please describe your next set of adjustments.

A. Our twenty-second through twenty-fourth adjustments remove the allowance for capital projects that were dependent on the projects identified in adjustments one through twenty-one. Our twenty-second adjustment removes the Customer Connections project and the NY Gender Pronoun and Name Mandate project because they are dependent upon the Customer Mandates project removed under our eleventh adjustment. Our twenty-third adjustment removes the AIMS Baseline and AIMS Upgrades and Enhancements, or Tech Debt project, because we removed the AIMS Enterprise Solution project under our ninth adjustment. Our twenty-fourth adjustment removes the Unified Web Portal 2.0 Digital Re Architecture and Optimization project since we removed the Unified Web Portal Program in our thirteenth adjustment.

Q. Please quantify your twenty-second through twenty-fourth adjustments.

A. Our twenty-second through twenty-fourth adjustments reduce the Rate Year IT&D capital budget at the Service Company level by a total of $28.277 million, or $25.970 million in FY24

and $2.308 million in the Rate Year.

Q. Please describe your twenty-fifth through twenty-seventh adjustments.

A. Our twenty-fifth through twenty-seventh adjustments remove the allowance for projects that are in the start-up stage of development, that is, those developed beyond an initial IET.

Q. Please explain your twenty-fifth adjustment.

A. Our twenty-fifth adjustment removes the allowance for the DPIT Networks project. This project will continue to modernize the corporate network infrastructure at offices and substations to reduce technical debt and end-of-life hardware and software assets that are creating security and operational risks.

Q. Why are you removing the allowance for this project?

A. The Panel has identified three deficiencies with this project. First, the Companies' IET, which was filed in response to DPS-457 Attachment 1, suggests that this project is aimed towards electric customers, stating that "continued funding to refresh the network infrastructure will reduce operational and security risks that

could impact the IT infrastructure supporting the delivery of electricity to our customers." KEDLI and KEDNY gas ratepayers should not have to bear a portion of the costs for a project that their gas customers will not receive any benefits from. Second, the IET lacks a project sponsor, management approvals, signatures, and other authorizations or sponsorship commensurate with even this basic level of project conceptualization. A project with a significant level of expenditures should have a dedicated staff team assigned to work through issues, identify risks and oversee the budget. Third, the Companies' IET includes a delivery risk which states "ongoing supply chain issues caused by COVID are still impacting the procurement of hardware and network components required." The Companies believe that this risk is still present.

Q. Please explain your twenty-sixth adjustment.

A. Our twenty-sixth adjustment removes the allowance for the Workplace Services project. This project is intended to implement new capabilities across end-user services and

utilizes emerging technologies to enhance capabilities in remote and in-office environments. The project includes investments in utilization and ongoing maintenance requirements associated with Microsoft Teams, SharePoint, Office365, access management platforms, such as single sign-on capability/active directory, etc., and technical support channels.

Q. Why are you removing the allowance for this project?

A. The Companies response to DPS-852 states that a component of the Digital Workplace Services project has been through sanctioning review and approval for a portion of the overall investment in FY23 and FY24, however, the remaining components of the project, that is, those that will be implemented beyond FY24, only have an IET to support the project, provided in response to DPS-457 Attachment 6. The IET only includes limited supporting details and information on the remaining portions of the project. Our review of the IET identified three issues. First, the IET lacks a project sponsor or

approvals and contains limited details that are not sufficient to support the cost recovery of this project. The project has not moved past the pre-start-up phase, does not have a project sponsor assigned, and lacks details around cost recovery. Second, the Companies delivery risk for this project states "global shortage of semi-conductor chip could impact HW delivery," however the Companies did not provide a mitigation strategy for this risk. Third, the Companies failed to identify the timeline associated with the deployment of this project, however they did state that this project would require continued funding for hardware and operating systems refreshments but failed to quantify those ongoing costs.

Q. Please explain your twenty-seventh adjustment.

A. Our twenty-seventh adjustment removes the allowance for the Ehub project. According to the Companies' response to DPS-781, the Ehub project is a strategic planning, enterprise architecture, and portfolio management tool used to support National Grid's integrated strategic planning. This project will add new

capabilities to improve strategic planning processes for both short-term and long-term investment planning.

Q. Why are you removing the allowance for this project?

A. Our review of the project and the supporting IET, provided in response to DPS-457 Attachment 7, identified four issues. First, the IET identified business risk, stating, "lack of enhancing the tool would be [a] step backwards for the purposes of use." This statement is not a business risk; it does not advance any specific understanding of the Companies' need for the project nor describes the ramifications for the denial of funding or a delay in implementation. Further, if this were a risk the Companies failed to provide a mitigation strategy for this risk. Second, the IET identified a delivery risk, stating that a "lack of funding could cause delay in delivery of priorities." Again, this risk is undeveloped. Any priorities should be identified in detail prior to seeking rate recovery for a project with a significant level of expenditures and the

Companies should have provided a mitigation strategy to address this risk. Third, the IET identified stakeholder risk, stating that the "stakeholder engagement is critical to overall success; clear & accurate communication is key." While we agree that the stakeholder engagement risk is critical for any IT project, the IET fails to identify who the stakeholders are or how this risk will be mitigated. Fourth, the Companies identified a dependency which states "IT & non-IT business processes must be defined and updated regularly in order that requests for tool enhancements can be effective and create optimization & efficiencies." However, the IET lacks detail as to what other projects this project would affect or interact with.

Q. Please quantify your twenty-fifth through twenty-seventh adjustments.

A. Our twenty-fifth through twenty-seventh adjustments reduce the IT&D capital expenditures at the Service Company level by $91.139 million, or $50.113 million in FY24 and $41.026 million in the Rate Year.

Q. Please describe your twenty-eighth adjustment.

A. Our twenty-eighth adjustment removes the allowance for Advanced Metering Infrastructure, or AMI, related projects. As discussed in the Staff Policy Panel and the Pipeline Safety Panel testimony, Staff is not supportive of KEDLI and KEDNY moving forward with the implementation of AMI at this time. Therefore, we recommend adjusting the IT&D projects related to AMI.

Q. Which IT projects are related to AMI?

A. The projects are Gas Application Continuous Improvement, KEDLI - NY Gas Smart Meter Solution, Remote Methane Detector, Gas Application Continuous Improvement, and Gas Meter Management System.

Q. Please quantify your twenty-eighth adjustment.

A. Our twenty-eighth adjustment reduces the IT&D capital expenditures at the Service Company level by $10.512 million, or $7.099 million in FY24 and $3.413 million in the Rate Year.

Q. Please describe your twenty-ninth adjustment.

A. Our twenty-ninth adjustment removes the Rate Year allowance for the Asset and Work Management for LNG Enhancements project. This project is designed to integrate work permitting, enhance

mobile capabilities, reduce human error associated with manual processes, and enhance work management capabilities for LNG Operations. Based on the Companies IET submitted in response to DPS-457 Supplement Attachment 51, and the response to DPS-1014, we are proposing to remove this project. This project is dependent on the following three initiatives – the CS&E project which we removed in our seventh adjustment, and two other fully sanctioned projects - Digital Asset & Work Management for I&R and CNG and Digital Calibration Management for Gas Equipment. In addition, the Companies' response to DPS-1014, states "[d]elaying an investment included in the Company's business plan may adversely affect interdependencies between projects and can result in delays and cost overruns in dependent investments" and "[u]ntil this project is completed, National Grid's LNG Ops [Operations] will continue to have a potential for human error that ultimately puts the Company's [Companies] ability to deliver safe and reliable gas service for customers at risk." Since we are removing the CS&E project

and the LNG Operations can continue to manually enter this data in the Enterprise Maximo System, our recommendation to remove is justified since there is no additional risk added by the LNG Operations continuation of manually entering this data.

Q. Please quantify your twenty-ninth adjustment.

A. Our twenty-ninth adjustment reduces the Rate Year IT&D capital budget at the Service Company level by $1.556 million.

Q. Please summarize the impact of adjustments one through twenty-nine to the Service Company's IT&D capital budget.

A. In total, our adjustments reduce Service Company IT&D capital expenditures by $360.082 million, or by $169.465 million in FY24 and $190.617 million in the Rate Year. This reduces Rate Year service company rent expense by $8.027 million and $4.292 million for KEDNY and KEDLI, respectively. Our Service Company Rents adjustments are shown in Exhibit___(SITP-2) and calculated in Exhibit___(SITP-6), and Exhibit___(SITP-7).

Q. Please describe your thirtieth adjustment.

A. Our thirtieth adjustment reduces the Service Company's proposed level of OPEX and RTB expenses tracking Staff's adjustments to the aforementioned IT&D capital projects. Our adjustment reduces the Service Company level of OPEX and RTB by $52.131 million and $14.713 million, respectively.

Q. Please describe your thirty-first adjustment.

A. Our thirty-first adjustment modifies the OPEX for the Energy Efficiency projects, Clean Energy 2.0 & Green Button Connect, to account for an error identified in the Companies response to DPS-669. This adjustment reduces the Service Company's Rate Year OPEX by $1.6 million.

Q. Please quantify the impact of your thirtieth and thirty-first adjustments on the Rate Year forecasts.

A. In total, our adjustments to OPEX and RTB reduce the Companies Rate Year forecast of the other initiatives – IT line item by $9.380 million for KEDNY and $5.216 million for KEDLI.

Q. Please explain your thirty-second adjustment.

A. Our thirty-second adjustment addresses the Service Company's return on its IT&D

investments.

Q. Please explain how the Service Company earns a return on its IT&D investments.

A. As discussed previously, the IT&D investments remain on the Service Company's books after the assets have been closed to plant-in-service. The Service Company recovers the return on its IT&D investments from KEDNY, KEDLI and the other affiliates through a Service Company Rent expense.

Q. What rate of return did the Companies apply to the unamortized IT investments in the Rate Year?

A. The Companies proposed to use a pre-tax weighted average cost of capital of 9.05 percent, which is based on a return on equity, or ROE, of 9.80 percent and a capital structure comprised of 50 percent common equity and 50 percent long-term debt.

Q. Does the Panel agree with the Companies' proposal to use a rate of return of 9.05 percent for determining the Companies' service company rents expense?

A. No. The Staff Witness Duah recommends an ROE of 9.1 percent and a capital structure comprised of

48 percent common equity and 52 percent long-term debt. Additionally, the Staff Witness Duah recommends using the Service Company's actual cost of long-term debt. This results in a pre-tax weighted average cost of capital of 8.4 percent. Accordingly, we recommend that this rate be applied to the IT investments at the Service Company level to avoid KEDNY and KEDLI's customers paying a higher return on these investments solely because the Companies chose to have the Service Company provide these investments.

Q. Please quantify your adjustment to the rate of return on Service Company assets?

A. Our adjustment reduces KEDNY and KEDLI's forecasted Service Company Rent expense by $1.675 million and $1.807 million, respectively.

Historical Spend and IT Analysis

Q. Please describe the Service Company's recent level of capital expenditures for IT&D investments?

Q. As shown in response to DPS-483, the level of IT capital expenditures is as follows; $115.204 million in FY19, $156.103 million in FY20,

$232.254 million in FY21, $261.379 million in FY22, and $307.906 million in FY23.

Q. How do these expenditures compare to the budgeted amounts for each period?

A. As shown in response to DPS-483, in FY19, the Service Company underspent its IT capital budget by $14.797 million or 11.4 percent, in FY20, it overspent by $5.466 million or 3.6 percent, in FY21, it underspent by $3.246 million or 1.4 percent, in FY22, it underspent by $9.870 million or 3.6 percent and in FY23, it overspent by $8.649 million or 2.9 percent. On average, over the five-year period, the Service Company underspent its capital IT budget by $13.818 million or 1.3 percent. Exhibit___(SITP-5) details the actual spending compared to the budgeted amounts on a project-by-project basis.

Q. Did the Panel make any observations in its review of the historic IT capital spending?

A. Yes. For FY20, as shown in response to DPS-483, the Companies made an "Efficiency" adjustment of $23.000 million, which lowered the FY20 budgeted amount from $173.636 million, to $150.636 million.

Q. Did the Companies provide an explanation of the efficiency adjustment?

A. In response to DPS-956, the Companies explained that the Efficiency adjustment represents an IT task to bring the total capital spending included in the FY Investment Plan in line with the budget. The Companies continue, explaining that the IT group planning process had identified $173.636 million of high value projects that the Companies prioritized to move forward in FY20. Once the final budget of $173.636 million was established, the project team agreed to a 15 percent capital reduction (i.e., "efficiency") target to deliver the plan within the budget, which reduced the initially proposed IT budget by $23.000 million. If this adjustment had not been made, then IT capital spending in the fiscal year would have been significantly under budget due to the efficiencies and prioritization modifications that the project team likely would have identified throughout FY20.

Q. Absent the efficiency adjustment in the FY20 budget, what would be the difference for the

FY20 IT capital budget versus the actual spend.

A. The Service Company would have underspent its FY20 IT capital spend by 10.1 percent, or $17.534 million.

Q. Absent the efficiency adjustment in the FY20 budget, what would be the five-year average underspending for FY19 through FY23?

A. The Service Company would have underspent its IT budget by 3.4 percent, or $36.818 million.

Q. Please describe the Service Company's recent level of OPEX associated with its IT&D capital spending.

A. As shown in response to DPS-483, the Service Company incurred IT OPEX costs as follows; $27.233 million in FY19, $22.944 million in FY20, $27.573 million in FY21, $40.697 million in FY22, and $59.137 million in FY23.

Q. How do these amounts compare to the budgeted amounts?

A. As shown in response to DPS-483, in FY19, the Service Company underspent its IT OPEX budget by $10.172 million or 27.2 percent, in FY20, it underspent by $11.032 million or 32.5 percent, in FY21, it underspent by $6.835 million or 19.9

percent, in FY22, it underspent by $3.331 million or 7.6 percent, and in FY23, it overspent by $17.420 million or 41.8 percent. On average, over the five-year period, the Service Company underspent its OPEX IT budget by $13.949 million, or a variance of 7.3 percent.

Q. Did the Panel make any observations in its review of the historic IT OPEX spending?

A. Yes. For FY23, as shown in response to DPS-483, the Service Company spent $19.846 million related to the project labeled "Business Apps." However, this project was not budgeted for, and is anomalous in nature. Additionally, while the Service Company overspent its OPEX budget in FY23 by $17.420 million, inclusive of the "Business Apps" project, it did not experience this magnitude of budget variance when compared to FY19 through FY22.

Q. Absent the anomalous spending on "Business Apps" in Fiscal Year 2023, what would be the difference for the FY23 OPEX budget versus the actual spend?

A. The Service Company would have underspent its IT capital by 5.8 percent, or $2.425 million.

Q. Absent the anomalous spending on "Business Apps" in FY23, on average, what would be the difference between the overall Service Company IT OPEX budget versus the actual spend?

A. On average, from FY19 through FY23, the Service Company would have underspent its IT OPEX budget by 17.6 percent, or $33.795 million.

Q. What is the Panel's general view of the Service Company's IT budgets considering its historic IT spending?

A. We are concerned about the Service Company's ability to meet its forecast capital and OPEX IT budgets because it has a historical pattern of failing to meet these spending targets. The Service Company has had widely varying outcomes when it comes to meeting its IT&D capital and OPEX budgets in any one year, and overall has underspent its budgets in the last five years. As such, we have concerns with the overall accuracy of the budgets and whether the Service Company can deliver on its Rate Year IT budget, which serves as an additional basis for the Panel's recommended adjustments.

Q. Does the Panel have an alternative

recommendation to address the Companies' historical underspend?

A. Yes, should the Commission reject the Panel's recommendations on a project-by-project basis the Commission should consider applying an adjustment to the Companies' IT&D capital budgets and associated OPEX to reflect this historical underspend.

Additional Recommendations

Q. Do you have any additional recommendations?

A. Yes, we have four additional recommendations. Our first two recommendations address the Companies' reporting requirements. Our third recommendation addresses process improvements going forward. Our last recommendation addresses the IT reconciliation mechanism.

Q. When were the current IT reporting requirements for the Companies established?

A. The IT reporting requirements were established in the Commission's Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements, issued August 12, 2021, in Cases 19-G-0309 and 19-G-0310, referred to as the 2021 Rate Order. The Commission required periodic

reporting of IT project development and investment activity. In these proceedings, the Companies propose to continue IT related reporting requirements.

Q. Does the Panel recommend the continuation of these reporting and process requirements?

A. Yes. We recommend the Companies continue the same reporting requirements and meet with Staff on a semi-annual basis. Additionally, we recommend that the Commission require KEDNY and KEDLI to include physical and cyber-security programs' progress and status in the IT project reports and meetings to ensure timely, consistent progress of the security projects proposed in these proceedings. Also, we recommend that the reporting and meetings be combined for all New York operating companies for efficiency purposes.

Q. Should these reporting requirements continue beyond the Rate Year?

A. Yes. It is important for the Commission to monitor the Companies' capital investment plans on an ongoing basis. Informational reports at regular intervals are critical to maintain

oversight of the IT investment plans. These recommendations are consistent with existing reporting requirements for the Companies' gas operations. They are critical to establishing a foundation for Staff to conduct comprehensive, project-specific examinations of IT projects in future rate proceedings, comparable to Staff's current examination of gas capital plans.

Q. What is your second reporting recommendation?

A. We recommend that KEDNY and KEDLI notify appropriate Department Staff as physical security or cybersecurity projects become partially or fully sanctioned, are merged with other projects, or are discontinued.

Q. What is your third recommendation?

A. Given the issues discussed throughout this testimony, we recommend that the Commission direct the Companies to engage with Staff to improve the IT rate case reporting process prior to the Companies' next rate filing.

Q. What type of improvements should be made?

A. Staff and the Companies should cooperatively develop enhanced standards for the information required for individual IT projects to be

considered for inclusion in approved capital budgets and, thus, revenue requirements. Required information should include, among other things, clear identification of risks and mitigation strategies, project budgets with a breakdown of cost type, and cost analysis on alternatives. Additionally, there should be discussion on how to reflect IT projects in testimony and exhibits to allow for easier identification and mapping of projects. We recommend that the Commission direct the Companies to provide an initial proposal of such enhancements within 60 days after issuance of its rate order in these proceedings to be reviewed by Staff as part of the Companies' periodic reporting of IT project development and investment activity.

Q. What is your fourth recommendation?

A. We recommend continuing the downward-only reconciliation mechanism for Service Company Rents, Net Utility Plant, and Depreciation that was implemented as part of the 2021 Rate Order.

Q. Why do you recommend the continuation of this one-way reconciliation mechanism?

A. Budgeting and spending are activities wholly within the Companies' control, as is improving the performance in these areas. A symmetrical true-up will not provide an incentive for the Companies to improve their budgeting and spending processes. Customers have no control over the Companies' level and pace of spending, nor the Companies' project management expertise, yet they bear the risk that the Companies' historic challenges in spending to projected levels will continue and will be reflected in rates. The true-up mechanism, therefore, should only reconcile underspending to allocate these risks equitably between the Companies and customers.

Q. Do the Companies agree with continuing this mechanism?

A. Yes. The Companies propose to continue that mechanism as updated for the changes in Rent expense and capital investments reflected in rates in these proceedings.

Q. Does this conclude your testimony at this time?

A. Yes.